

2008 BRIMLEY ROAD — TRILLIUM PROFORMA

Scarborough, ON · 6-Storey + Garden Suite · 29-Unit Purpose-Built Rental · Architect: Office Ou Ltd. ·
PAC May 2026

Owner / Operator: Trillium United Estate
Proforma rev: Jun 2026

CMHC MLI Select · Standard Tier

PROJECT COST ~\$14.1M \$300/sf hard	CMHC PERMANENT ~\$10.1M DSCR 1.20× / 4.5%	TRILLIUM EQUITY ~\$4.5M Standard CMHC scenario	STABILIZED NOI ~\$601K Market rents Yr 1	YR 20 ASSET VALUE ~\$24.0M @ 4% exit cap	20-YR EQUITY MULTIPLE ~3.5–4.5× Long-term hold
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PROJECT PER DRAWINGS

Address	2008 Brimley Rd, Scarborough M1S 2B2
Lot	23.21 m × 46.94 m (~1,090 m²)
Zoning	RD
Main Building	6-storey, 27 units, 27,452 sf GFA
Garden Suite	1-storey, 2 units, 810 sf GFA
Total Units	29
Total GFA	28,261 sf (2,625.5 m²)
Architect	Office Ou Ltd. (PAC sheet 2026-06)
Land Acquisition	\$2.0M (\$1M cash + \$1M VTB)

UNIT MIX & RENT ROLL (MARKET)

Type	Count	Sf	\$/mo	Annual
Studio	2	404	\$1,650	\$39,600
1 BR	7	701	\$1,950	\$163,800
1 BR + Den	8	720	\$2,200	\$211,200
2 BR	6	726	\$2,500	\$180,000
3 BR + Den	6	1,075	\$3,200	\$230,400
TOTAL	29	28,261	—	\$825,000

YEAR 1 INCOME & NOI (MARKET RENTS)

Gross Rental Income	\$825,000
Vacancy (5%)	-\$41,250
Effective Gross Income	\$783,750
Property tax	-\$50,000
Insurance	-\$22,000
R&M	-\$32,000
Common utilities	-\$22,000
Prop mgmt (4% EGI)	-\$31,350
Other / reserves	-\$25,000
Total Operating Expenses	-\$182,350
Stabilized NOI	\$601,400
NOI per unit	\$20,738
NOI per sf	\$21.28

DEVELOPMENT COST — TOTAL PROJECT COST

Land purchase + closing	\$2,162,000
Hard cost (28,261 sf × \$300/sf)	\$8,478,300
Soft costs (18% of hard)	\$1,526,094
Construction loan interest (18 mo)	\$562,000
Construction loan fee	\$200,000
VTB interest (24 mo @ 7.5%)	\$150,000
Contingency (10% of hard + soft)	\$1,000,440
TOTAL PROJECT COST	~\$14,078,800
Per unit	\$485,500
Per sf	\$498

CMHC MLI SELECT — PERMANENT FINANCING

Stabilized NOI	\$601,400
DSCR target (Standard)	1.20×
Max annual debt service	\$501,167
Rate / Amort (Standard tier)	4.5% / 50 yr
Annual factor	0.04958
DSCR-driven max loan	~\$10,108,000
LTV-driven max (95% × \$15.0M val)	~\$14,300,000
CMHC Permanent Loan (lower of)	~\$10,108,000
Year 1 cash flow after DS	~\$100,000
DSCR (actual)	1.20×

REFI CASH FLOW ANALYSIS

CMHC permanent proceeds	\$10,108,000
Less: Construction loan payoff	-\$11,930,000
Less: Residual VTB to seller	-\$500,000
Cash Gap (Trillium top-up)	~\$2,322,000
Plus equity at construction	~\$2,111,000
Total Trillium Equity in Deal	~\$4,433,000
Year 1 cash-on-cash	~2.3%

⚠ KEY FINDING — STANDARD CMHC DOES NOT FULLY PENCIL

The proforma at **market rents + Standard MLI Select 4.5%** generates a stabilized NOI of \$601K, which sizes CMHC at ~\$10.1M. The construction loan payoff (~\$11.9M) plus residual VTB (\$500K) exceeds the CMHC proceeds by ~\$2.3M — meaning Trillium needs to fund an additional ~\$2.3M of equity at refi on top of the ~\$2.1M already deployed during construction. **Total Trillium equity exposure: ~\$4.4M.** Year 1 cash-on-cash is modest at ~2.3% but long-term returns benefit from rent growth, mortgage paydown, and asset appreciation.

Three paths to improve the economics:

- **BCH 40% Forgivable Loan** — adds ~\$5.6M of forgivable capital; transforms refi economics. Requires affordability covenant (≥30% of units at 80% MMR) but project structure supports it. *This is the path modeled in the Investor Package.*
- **Pursue MLI Select Tier 3 (premium)** — 4.0% rate, deeper amortization, 1.15× DSCR. Requires affordability + energy + accessibility commitments. Could lift CMHC loan to ~\$11.5M-12.0M and largely close the gap.
- **Reduce hard cost to \$275-285/sf** through value engineering — reduces TPC by ~\$420K-700K and lowers Trillium's required equity.

20-YEAR HOLD RETURNS (APPROXIMATE)		CAP RATE SENSITIVITY (YR 20)	
Year 1 NOI	\$601,400	Yr 20 NOI (base)	\$960,800
Year 20 NOI (2.5% growth)	\$960,800	3.0% exit cap	\$32,027,000
Year 20 Asset Value (4% cap)	\$24,020,000	3.5% exit cap	\$27,451,000
Year 20 Mortgage Balance (est.)	-\$7,076,000	4.0% exit cap (base)	\$24,020,000
Year 20 Equity Value	\$16,944,000	4.5% exit cap	\$21,351,000
Cumulative cash flow (Yrs 1–20, ~50% growth)	\$3,000,000	5.0% exit cap	\$19,216,000
Total Trillium Return (20-Yr)	~\$19,944,000	Toronto multifamily reference 3.5–4.5%. Cap compression in mid-cycle (3.5%) could lift Yr 20 equity value materially.	
Equity Multiple on \$4.4M	~4.5×		
Approximate Annualized CAGR	~7.5%		

RECOMMENDATION

Trillium proforma at market rents + standard CMHC produces a positive long-term hold (~4.5× equity multiple, ~7.5% CAGR) but requires ~\$4.4M of Trillium equity exposure with modest Year-1 cash flow. The deal is investable as a long-term stabilized hold but the equity ask is meaningful.

The strategic case for pursuing the BCH Ubuntu structure (see Investor Package): replaces Trillium's \$4.4M equity with a Howard-led structure at \$0 cash from Trillium, plus social-impact partnership with Our Greenway NFP. Trillium's economics shift from "long-term hold owner with \$4.4M tied up" to "structuring sponsor with development fee + ongoing share" — better aligns with Trillium's capital efficiency profile.

Trillium next steps: (1) Confirm BCH program eligibility and rate sheet with CMHC pre-application; (2) finalize affordability mix to support BCH Tier 3 / 30%-affordable covenant; (3) align with Office Ou on cost engineering opportunities (\$300/sf → \$280/sf would reduce equity ask by ~\$420K).